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MAR 11 1999

BEFORE THE
FEDERAL MARITIME COMMISSION

PETITION OF CHINA OCEAN SHIPPING (GROUP) COMPANY
FOR A PARTIAL EXEMPTION FROM
THE CONTROLLED CARRIER ACT

DOCKET NO. P3-99

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March 31, 1999

INTRODUCTION

China Ocean Shipping (Group) Company ("COSCO"), by and through its attorneys, Garvey, Schubert & Barer, hereby petitions the Commission for an exemption, pursuant to Section 16 of the Shipping Act of 1984 ("Shipping Act"), as amended by the Ocean Shipping Reform Act of 1998 ("OSRA"), to allow COSCO to publish rate decreases in U.S. foreign commerce' to be effective upon publication, without regard to whether they are the same as or lower than competing carriers' rates. COSCO currently has this right in the bilateral trade, because under existing law the bilateral trade is specifically excepted from the so-called "Controlled Carrier Act", Section 9 of the Shipping Act, 46 U.S.C. App. § 1708. The relief requested merely maintains the status quo in the bilateral trade. In addition, COSCO currently has this right in the cross trades, if the rate decreases are not below the rates of competing carriers, by virtue of the Commission's order served March 27, 1998 in proceeding Petition No. Pl-98 ("March 27 Order").

The relief requested is necessary (1) because OSRA expanded the scope of the Controlled Carrier Act to include the bilateral trade, effective May 1, 1999 and (2) to permit COSCO to decrease rates in the cross trades regardless of whether the rate decreases "meet or beat" the rates of competing carriers. After May 1, 1999, the Controlled Carrier Act will apply to rates quoted by COSCO in both the cross trades and the bilateral trade. The effect of this change will be to increase regulation of COSCO's

¹ This petition requests relief in both the bilateral trade and the cross trades. The bilateral trade is the trade between the United States and the People's Republic of China (which includes Hong Kong). The cross trades include the trades between the United States and foreign countries other than the People's Republic of China.

operations in the bilateral trade by subjecting them to regulation under the Controlled Carrier Act for the first time.

Three aspects of regulation under the Controlled Carrier Act are relevant to this petition: (1) The Controlled Carrier Act prohibits a controlled carrier from charging either tariff rates or service contract rates that are “below a level that is just and reasonable.”

Section 9(a). *This is the most important aspect of Controlled Carrier Act regulation and it would not be changed by granting the relief requested in this Petition.* (2) Section 9(c) provides that *decreases* in a controlled carrier’s *tariff rates* must be filed on thirty days’ notice. (This provision does not apply to rate *increases* or to decreases in a controlled carrier’s *service contract rates*.) However, (3) the March 27 Order has exempted COSCO from the thirty day notice requirement in order to allow COSCO “to reduce rates to meet or exceed the filed rates of competing ocean common carriers on one day’s notice.” March 27 Order at 23.

The relief which COSCO seeks has two elements. First, COSCO seeks confirmation that the relief which the Commission has already granted in the March 27 Order applies to the bilateral trade as well as the cross trades. Second, COSCO seeks to expand that relief to permit COSCO to reduce rates on one day’s notice regardless of whether those rates meet or exceed the rates of competing ocean common carriers.

THE COMMISSION HAS THE AUTHORITY TO GRANT THE RELIEF REQUESTED

Section 16 clearly gives the Commission the authority to grant the relief requested. COSCO’s January 7, 1998 Petition in Dkt. No. Pl-98 (a copy of which is attached hereto as Appendix 1 and incorporated by reference herein) clearly established

that the Commission has the statutory authority to grant the relief requested, and the Commission obviously agreed by issuing the March 27 Order.

The amendments to Section 16 contained in OSRA give the Commission even broader authority to grant exemptions and encourage the Commission to exercise that authority. Under current law, to grant an exemption the Commission must find that the exemption would not (1) substantially impair effective regulation by the Commission, (2) be unjustly discriminatory, (3) result in a substantial reduction in competition, or (4) be detrimental to commerce. OSRA deletes parts 1 and 2 of this four-part test.

The accompanying Committee Report (page 30) explains:

This section would amend section 16 of the 1984 Act to facilitate the exemption of classes of agreements between persons subject to the 1984 Act or any specified activities of those persons from any requirements of the 1984 Act by eliminating two of the four tests applied to applications for such exemptions. The policy underlying this change is that while Congress has been able to identify broad areas of ocean shipping commerce for which reduced regulation is clearly warranted, the FMC is more capable of examining through the administrative process specific regulatory provisions and practices not yet addressed by Congress to determine where they can be deregulated consistent with the policies of Congress.

Section 10(b)(2)(A) of the Shipping Act, as amended by OSRA, provides that a common carrier may not provide service that is not in accordance with its tariff “unless exempted under section . . . 16 of this Act.” Thus, OSRA gives the Commission authority to grant exemptions from the statutory tariff publication requirements, as long as it finds that the exemption would not substantially reduce competition or be detrimental to commerce.

As demonstrated below, the relief requested would increase, not reduce, competition by enabling COSCO to meet the pricing demands of its customers on short notice. COSCO's earlier petition for a limited exemption (which met the stricter, four-

part exemption test in the pre-OSRA statute) contained ample evidence from shippers that they need and want COSCO to have as much short notice pricing flexibility as possible.² Nor would the requested exemption be detrimental to commerce, as it would accomplish the goals of OSRA as set forth in the Declaration of Policy, Section 2(4) – “to promote the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace” – by restoring a competitive balance to the trade without sacrificing the deregulatory goals of OSRA.

**THE RELIEF REQUESTED WILL NOT RESULT IN
SUBSTANTIAL REDUCTION IN COMPETITION OR BE
DETRIMENTAL To COMMERCE**

It is clear that the first element of the relief which COSCO requests – confirming that the relief granted in the March 27 Order applies to the bilateral trades – is warranted under the Section 16. See COSCO’s January 7, 1998 Petition (copy attached as Appendix 1). Indeed, Commission staff has already informally indicated that the March 27 Order itself permits COSCO to reduce rates in the bilateral trade on one day’s notice to “meet but not beat” competitors’ rates. See November 2, 1998 letter from Thomas Panebianco to Richard Gluck (copy attached as Appendix 2).

The critical issue posed by this Petition is the second element of the relief requested – the ability to reduce tariff rates on one day’s notice *even if the reduced rates are lower than the published rates of competitors*. Four preliminary observations about this relief are important:

² See March 27, 1998 Order at pages 7-9.

- COSCO has this right in the bilateral trade today, because prior to the May 1, 1999 effective date of OSRA, the Controlled Carrier Act – and hence the 30-day notice requirement of Section 9(c) – does not apply to the bilateral trade at all.
- Even under OSRA, COSCO will have the right to reduce its service contract rates below competitors' rates on one day's notice. Section 9(c).
- The relief requested does not in any way diminish the Commission's authority to investigate any COSCO rate in any trade.
- The relief requested does not in any way exempt COSCO from the statutory prohibition against maintaining any rate in any trade which is "below a level that is just and reasonable" within the meaning of Section 9(a).

Thus the relief requested is purely administrative and procedural. It relates only to the timing of tariff rate filings. The relief requested does not in any way change the substantive standards of reasonableness which are, and remain, applicable to COSCO's tariff rates and its service contract rates.

The Relief Requested Promotes And Enhances Competition

Although the relief requested is only a matter of timing and procedure, that relief is still important in light of the deregulatory regime established by OSRA. OSRA authorizes ocean carriers to enter into confidential service contracts. While the contracts themselves will have to be filed with the Commission, only the origin and destination

port ranges, commodity, minimum volume and duration will have to be published.

Section 8(c). Service contract *rates* will remain confidential. *Id.* Although OSRA continues to require the publication of tariff rates by shipping lines, it is expected that most cargo will move under confidential service contract rates.

It is expected that the introduction of confidential contracts will increase competition and create a dynamic and fast moving marketplace requiring the ability to quote and change rates on short notice. Without the relief requested, COSCO will only be able to offer short notice rate reductions on its own initiative if a customer is willing to enter into a service contract with COSCO. COSCO's competitors, on the other hand, will be able to offer customers a choice of an immediately effective service contract, or an immediately effective tariff rate reduction. Thus shippers which prefer to deal with COSCO are put at a serious disadvantage vis-a-vis shippers dealing with COSCO's competitors because they will not be able to obtain immediately effective tariff rate reductions. In effect, shippers will be penalized for using COSCO. This in turn will put COSCO at a severe competitive disadvantage, especially with those customers who have immediate shipment needs, but are unwilling to commit to a service contract.

This is especially true in trades where many of the shippers book containers one, two or three at a time, and want to keep their options open to commit cargo to other carriers rapidly as the freight rate market changes. In order to serve the needs of those customers, and to compete for their business on a fair and equal basis with other ocean common carriers, COSCO must have the flexibility to offer reduced rates on immediate notice in its tariff, simply to meet the needs of its existing customers. COSCO's competitors have the ability to reduce their tariff rates on one day's notice. In order to

compete, COSCO needs the same ability.

The March 27 Order does not give COSCO the competitive flexibility it needs for two reasons. First, the March 27 Order is limited to meeting published rates and second, the March 27 Order only allows COSCO to “meet but not beat” competitors’ published rates. As explained above, it is anticipated that many of the rates quoted by competing carriers to their customers once OSRA becomes effective will be confidential, contract rates which COSCO will not be able to see. If COSCO needs to reduce its corresponding tariff rates on short notice to meet **its** customers’ needs, it is likely that there will be no published, competing rate against which to compare COSCO’s proposed rate action. Hence COSCO will not be able to use the limited exemption.

For example, if a competing carrier offers service contract rate reductions to shippers of 100 TEUs of a given commodity, COSCO’s customers shipping the same commodity also may demand a rate reduction from COSCO to remain competitive. However, unless they are willing to commit to a service contract, COSCO will have to wait thirty days before making a reduced rate on that commodity available in its tariff.³ Since COSCO often deals with smaller shippers lacking the volume or financial resources to make service contract commitments, those shippers likely will turn to other carriers who have the ability to adjust their tariff prices to the market on short notice.

If competing carriers offer short notice rate reductions in service contracts, COSCO will have no means of responding, unless it can convince its customers to sign service contracts as well. Past experience indicates that many of the smaller shippers in

³ Since the competing rate likely would be in a service contract, it could not be used as a point of comparison, thus making it impossible for COSCO to make use of the existing limited exemption. Moreover, as it does today, COSCO must have the flexibility to offer prices higher, lower or the same as other carriers to market its service effectively.

the trade will be unwilling to do so, thus putting COSCO at a great competitive disadvantage.

Simply put, COSCO will not be able to use even the limited exemption to match secret rates being offered by competitors. COSCO must have the flexibility to quote rate reductions on short notice in its tariff without regard to the rates in competing carriers' tariffs.

Project cargoes will also present special problems. Most carriers' tariffs do not contain rates on oversize or project cargoes, because they must be evaluated on a case-by-case basis. Yet, COSCO frequently must offer reduced rates on short notice to project cargo shippers to meet delivery deadlines, construction schedules or letter of credit terms. Many project cargo shippers will not sign service contracts, and insist upon shipping under tariff rates. If COSCO cannot offer them such rates on short notice, they will go to COSCO's competitors.⁴

Permitting COSCO to reduce rates on one day's notice, even if those rates are below competitors' rates is the essence of competition in a free market economy. Furthermore, the relief requested is clearly consistent with Section 2(4)'s mandate to promote growth "by placing a greater reliance on the marketplace." It is equally consistent with the Section 16 standards for an exemption because it will not "result in

⁴ Again, the existing limited exemption would be unworkable, because it requires a matching rate in another carrier's tariff. To generate such a rate, COSCO would have to send the prospective customer to a competing carrier to get a tariff rate quotation that COSCO then could match. Once the customer has gone to COSCO's competitor for the rate quotation, it would have no reason to return to COSCO to ship the cargo.

substantial reduction in competition or be detrimental to commerce.” Low prices are good for shippers and good for market economies generally. Low prices are a key objective the Sherman Act, which is America’s “comprehensive charter of economic liberty.” *Northern Pacific Railway v. United States*, 356 U.S. 1, 4 (1958). The relief requested will make it easier for shippers to obtain lower prices, thereby stimulating competition and benefiting commerce.

Any concern that COSCO’s rates might be “too low” is unwarranted because the Commission retains its full power and authority to investigate any rate that COSCO files at any time in any trade, on the grounds that that rate is below a level that is just and reasonable. COSCO emphasizes that the relief requested in this petition is procedural, only. It does not affect in any way the substantive standards applicable to COSCO’s rates. All COSCO rates are statutorily required to be at or above a level that is just and reasonable, whether implemented on one day’s notice or thirty days’ notice.

Therefore the effect of granting the relief requested is to permit COSCO to make just and reasonable rates effective on one day’s notice. Denying the relief would require COSCO to withhold just and reasonable rates for thirty days, and to maintain rates that are higher than legally required for longer than COSCO believe commercially necessary or desirable. That is inconsistent with the mandates of OSRA, particularly amended Section 2(d) (policy of OSRA is to “plac[e] greater reliance on the marketplace”) and Section (16) (authorizing an exemption if it “will not result in substantial reduction in competition or be detrimental to commerce.”)

THE RELIEF REQUESTED WILL NOT BE DETRIMENTAL TO COMMERCE

The relief requested is consistent with the legislative history of OSRA. OSRA amended the Controlled Carrier Act to encourage the Commission to take action against unreasonably low rates. Granting the relief requested does not affect in any way the Commission's authority to investigate the rates of COSCO or any other controlled carrier that it believes is charging rates below a level that is just and reasonable. In more than a decade of operations under the Controlled Carrier Act, however, *the Commission has never challenged a single COSCO rate based on the Controlled Carrier Act.*

The Senate Report on OSRA also expressed concern that unnamed controlled carriers not "be allowed to utilize the benefits of operating under the control of, and with the support of, a government to displace carriers operating under normal commercial considerations." S. Rep. at 27. As explained in COSCO's January 7, 1998 petition, COSCO is not the type of carrier to which the Senate Report's remarks apply. Although it is a state-owned enterprise, COSCO is subject to the PRC Government's policy of promoting a socialist market economy. Under this policy, the primary goal of COSCO is profitability, and COSCO is not managed for the primary purpose of advancing a political or national agenda. As the Memorandum of the U.S.-Sino Maritime Discussions, dated June 14, 1996, states at page 5: "The Chinese side stated that . . . [a]lthough COSCO and SINOTRANS are state-owned enterprises, the Chinese Government would not interfere with their business operations and these shipping companies do not enjoy any subsidies from the government."

Furthermore, the Senate Report's concern is that controlled carriers displace carriers "operating under normal commercial considerations." COSCO assumes that U.S.-flag carriers operate "under normal commercial considerations" within the meaning of the Senate Report, but U.S.-flag carriers also receive various subsidies from the federal government and enjoy protected markets where they are immune from foreign competition. Therefore the creation and enforcement of closed markets reserved for national flag carriers must be "operating under normal commercial considerations," under the Senate Report.

The relief requested does not give COSCO any unfair competitive advantage. It simply maintains the status quo in the bilateral trades as it existed prior to enactment of OSRA. In the cross trades, the relief requested merely levels the playing field so that COSCO, like its competitors, may decrease rates on one day's notice.

The relief requested is an important step in improving the bilateral maritime relationship between the United States and China. Without the relief requested, the United States will be imposing an additional regulatory burden on China even though China has reportedly approved the Tianjin terminal venture which was the centerpiece of the December, 1997 negotiations between China and the United States. Granting the relief requested will simply continue the regulatory regime for the bilateral trades which was in place at the time of those negotiations and which both sides anticipated would remain in place in the future. Failing to grant the relief requested will mean that although China has honored its commitment to approve the Tianjin venture, the U.S. – far from reducing the regulatory burdens on Chinese carriers – has increased those burdens in the bilateral trades.

To support and encourage capital investment in the trade, and to create an environment where the rules governing competition for business in the trade are certain and predictable, COSCO requests that the exemption sought in this Petition be made permanent.

COSCO is confident that the U.S.-flag carriers will not oppose this Petition. The U.S.-flag carriers do not fear competition; they welcome it. Granting the relief requested will not put the U.S.-flag carriers at a competitive disadvantage.

COSCO is not requesting any special advantage over its competitors. On the contrary, COSCO is merely requesting the elimination of one legal requirement that results in the existence of conditions that adversely affect the operations of COSCO in the United States oceanborne trade and does not exist for U.S.-flag carriers in China.

CONCLUSION

Under existing law, including the bilateral exception to the Controlled Carrier Act, there has been an orderly growth in the bilateral trade without complaints of predatory pricing. Extension of the thirty day filing requirement to the bilateral trade, coupled with the new authority under OSRA to enter into confidential contracts, will give competing carriers complete pricing freedom, and at the same time handcuff COSCO's ability to meet the needs of its tariff customers. The exemption requested here would restore the competitive balance in the new, OSRA era confidential

contracting environment. COSCO therefore respectfully requests that the Commission grant the relief requested in this Petition.

Respectfully submitted,

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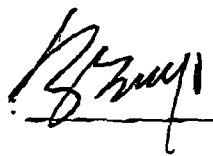
DATED this 31st day of March, 1999

VERIFICATION

I hereby declare under penalty of perjury that the facts set forth in the foregoing
Petition of China Ocean Shipping (Group) Company for a Partial Exemption from the
Controlled Carrier Act are true and correct to the best of my knowledge and belief

March 25th, 1999

Dated



Executive Vice President
COSCO Americas Inc., on behalf of
China Ocean Shipping (Group) Company